# IRS Knowledge Book | 2026 Tax Year

## Expanded RAG Edition - 2027 Filing Year | 49 retrieval records

Educational reference only. Federal ordinary-income rate schedules from IRS Rev. Proc. 2025-32. Confirm applicable filing status, special deduction limitations, and final IRS instructions before filing.

### 2026 Filing Status and Standard Deduction Overview

| Filing status | Code | Basic deduction |
|---|---|---|
| Single | single | $16,100 |
| Married Filing Jointly (MFJ) | mfj | $32,200 |
| Married Filing Separately (MFS) | mfs | $16,100 |
| Head of Household (HOH) | hoh | $24,150 |
| Qualifying Surviving Spouse (QSS) | qss | $32,200 |

Source: IRS Revenue Procedure 2025-32, sections 4.01 and 4.14; IRS Publication 501. The 2026 tax year is generally filed in 2027.

### Single - 2026 ordinary-income brackets

Generally unmarried on December 31, 2026 and not eligible for HOH or QSS. Basic standard deduction: $16,100.

| Marginal rate | Taxable income over | Through |
|---|---|---|
| 10% | $0 | $12,400 |
| 12% | $12,400 | $50,400 |
| 22% | $50,400 | $105,700 |
| 24% | $105,700 | $201,775 |
| 32% | $201,775 | $256,225 |
| 35% | $256,225 | $640,600 |
| 37% | $640,600 | No upper limit |

### Married Filing Jointly (MFJ) - 2026 ordinary-income brackets

Married spouses generally report combined income and deductions on one return; both generally share responsibility for the return. Basic standard deduction: $32,200.

| Marginal rate | Taxable income over | Through |
|---|---|---|
| 10% | $0 | $24,800 |
| 12% | $24,800 | $100,800 |

| Marginal rate | Taxable income over | Through |
|---|---|---|
| 22% | $100,800 | $211,400 |
| 24% | $211,400 | $403,550 |
| 32% | $403,550 | $512,450 |
| 35% | $512,450 | $768,700 |
| 37% | $768,700 | No upper limit |

## Married Filing Separately (MFS) - 2026 ordinary-income brackets

Married spouses file separate returns. Special restrictions apply to credits and deductions; if one spouse itemizes, the other generally cannot use the standard deduction. Basic standard deduction: $16,100.

| Marginal rate | Taxable income over | Through |
|---|---|---|
| 10% | $0 | $12,400 |
| 12% | $12,400 | $50,400 |
| 22% | $50,400 | $105,700 |
| 24% | $105,700 | $201,775 |
| 32% | $201,775 | $256,225 |
| 35% | $256,225 | $384,350 |
| 37% | $384,350 | No upper limit |

## Head of Household (HOH) - 2026 ordinary-income brackets

Generally unmarried or considered unmarried, pays more than half the cost of maintaining a home, and has a qualifying person; special rules apply. Basic standard deduction: $24,150.

| Marginal rate | Taxable income over | Through |
|---|---|---|
| 10% | $0 | $17,700 |
| 12% | $17,700 | $67,450 |
| 22% | $67,450 | $105,700 |
| 24% | $105,700 | $201,750 |
| 32% | $201,750 | $256,200 |
| 35% | $256,200 | $640,600 |
| 37% | $640,600 | No upper limit |

## Qualifying Surviving Spouse (QSS) - 2026 ordinary-income brackets

Potentially available for two years following the year of a spouse's death, with a qualifying child and other statutory requirements; uses MFJ rates and basic deduction. Basic standard deduction: $32,200.

| Marginal rate | Taxable income over | Through |
|---|---|---|
| 10% | $0 | $24,800 |
| 12% | $24,800 | $100,800 |
| 22% | $100,800 | $211,400 |
| 24% | $211,400 | $403,550 |
| 32% | $403,550 | $512,450 |
| 35% | $512,450 | $768,700 |
| 37% | $768,700 | No upper limit |

# Original and Expanded RAG Knowledge Modules

## Filing Status

Chunk ID: irs2026_001_filing_status | Topic: filing_status | Tax year: 2026 | Filing year: 2027

For federal individual income tax year 2026 (generally filed in 2027), five filing statuses are Single, Married Filing Jointly (MFJ), Married Filing Separately (MFS), Head of Household (HOH), and Qualifying Surviving Spouse (QSS). Basic standard deductions: Single $16,100; MFJ $32,200; MFS $16,100; HOH $24,150; QSS $32,200. QSS uses the same ordinary income tax rate schedule as MFJ. Status is determined by statutory eligibility, generally based on circumstances at year end; filing status influences marginal tax brackets, deductions and credits. The basic deduction may differ for dependents, older or blind taxpayers, and certain nonresident aliens. For exact ordinary-income bracket thresholds, retrieve the filing-status-specific tax_brackets chunk.

IRS references: IRS Revenue Procedure 2025-32 (Internal Revenue Bulletin 2025-45), section 4.01 and 4.14, IRS Publication 501

## Standard vs. Itemized Deductions

Chunk ID: irs2026_002_standard_vs_itemized | Topic: standard_vs_itemized | Tax year: 2026 | Filing year: 2027

A taxpayer generally claims either the standard deduction or itemized deductions. The standard deduction is simpler and requires less substantiation. Itemizing uses Schedule A and can be beneficial when allowable itemized deductions exceed the standard deduction. Common itemized categories include qualifying medical expenses above the applicable AGI threshold, state and local taxes subject to current law, qualifying home mortgage interest, and charitable contributions. Itemizing requires stronger recordkeeping. Married Filing Separately has coordination rules: if one spouse itemizes, the other generally cannot take the standard deduction. The correct comparison should use the final tax-year-2026 Schedule A and Form 1040 instructions.

IRS references: Publication 501, Schedule A Instructions

## Wages and Withholding

Chunk ID: irs2026_003_wages | Topic: wages | Tax year: 2026 | Filing year: 2027

Employees generally receive Form W-2 showing taxable wages and federal, Social Security, and Medicare withholding. Form W-4 is used prospectively with an employer to adjust federal income-tax withholding; it is not the annual tax return. A federal return reconciles total income and tax with withholding and estimated payments. A refund generally means prepayments exceeded final tax; a balance due means prepayments were insufficient. Payroll elections can affect federal wages differently from Social Security and Medicare wages.

IRS references: Publication 505, Form 1040 Instructions

## Stocks, ETFs and Mutual Funds

Chunk ID: irs2026_004_stocks | Topic: stocks | Tax year: 2026 | Filing year: 2027

Sales of stocks, ETFs, mutual funds, and other capital assets are generally reconciled on Form 8949 and summarized on Schedule D. Holding period matters: assets held one year or less are generally short-term; assets held more than one year are generally long-term. Cost basis must reflect applicable adjustments. Brokerage Form 1099-B can report proceeds and basis, but taxpayers remain responsible for accurate basis. Wash-sale rules can defer losses when substantially identical securities are reacquired within the statutory window. Mutual funds can distribute taxable capital gains even when the investor did not sell fund shares.

IRS references: Publication 550, Form 8949 Instructions, Schedule D Instructions

## Interest and Bonds

Chunk ID: irs2026_005_interest_bonds | Topic: interest_bonds | Tax year: 2026 | Filing year: 2027

Bank interest, certificates of deposit, and many bond payments are reported as interest income, often on Form 1099-INT. Tax-exempt municipal-bond interest may be excluded from regular federal taxable income but can still have reporting consequences. Original issue discount and market-discount rules can complicate bond taxation. Schedule B is required in specified situations for interest and dividends and also contains questions about foreign financial accounts and trusts.

IRS references: Publication 550, Schedule B Instructions

## Dividends

Chunk ID: irs2026_006_dividends | Topic: dividends | Tax year: 2026 | Filing year: 2027

Form 1099-DIV commonly reports dividends and capital-gain distributions. Ordinary dividends and qualified dividends are distinguished because qualified dividends may be eligible for preferential capital-gain tax rates when requirements are met. Reinvesting a dividend does not generally make the dividend nontaxable; reinvestment normally creates additional basis in the newly acquired shares. Mutual funds can generate taxable capital-gain distributions.

IRS references: Publication 550, Form 1040 Instructions

## Capital Losses and Carryovers

Chunk ID: irs2026_007_capital_losses | Topic: capital_losses | Tax year: 2026 | Filing year: 2027

Capital gains and losses are netted under short-term and long-term rules. When allowable capital losses exceed capital gains, individuals can generally deduct a limited net capital loss against other income, and unused losses can carry forward. Prior-year carryovers must be tracked independently of current brokerage statements. Form 8949 and Schedule D are central reporting forms. The tax result depends on basis, holding period, wash-sale adjustments, and prior carryovers.

IRS references: Publication 550, Schedule D Instructions

## Main Home Ownership and Sale

Chunk ID: irs2026_008_main_home | Topic: main_home | Tax year: 2026 | Filing year: 2027

The purchase price of a personal residence is not itself a current federal income-tax deduction. Home-related tax issues can include qualifying mortgage interest, real-property taxes, points, energy credits, basis, capital improvements, and later sale. For a qualifying principal-residence sale, an individual may exclude up to $250,000 of gain, and many qualifying married couples filing jointly may exclude up to $500,000, if statutory ownership and use requirements are satisfied. Keep closing documents and capital-improvement records because they can affect basis.

IRS references: Publication 523, Publication 530

## Rental Real Estate

Chunk ID: irs2026_009_rental | Topic: rental | Tax year: 2026 | Filing year: 2027

Residential rental income and expenses are generally reported on Schedule E. The building and other qualifying depreciable property are recovered through depreciation; land is not depreciated. Form 4562 is used in many depreciation situations. Repairs and improvements are not always treated the same: improvements may need capitalization and depreciation. Rental losses can be limited by passive-activity rules, commonly involving Form 8582. Sale of rental property can involve adjusted basis, depreciation recapture, Form 4797, Schedule D, and other rules.

IRS references: Publication 527, Form 4562 Instructions, Form 8582 Instructions

## Sole Proprietorship

Chunk ID: irs2026_010_sole_prop | Topic: sole_prop | Tax year: 2026 | Filing year: 2027

A sole proprietor generally reports business income and allowable expenses on Schedule C attached to Form 1040. Net earnings can also create self-employment tax calculated on Schedule SE. Business expenses must satisfy applicable tax-law requirements and should be supported by records. Personal expenses are not deductible merely because they were paid from a business account. Estimated tax payments may be necessary because no employer is withholding tax from business profit.

IRS references: Schedule C Instructions, Schedule SE Instructions, Publication 505

## LLC Federal Tax Classification

Chunk ID: irs2026_011_llc | Topic: llc | Tax year: 2026 | Filing year: 2027

An LLC is a state-law entity, not a single federal tax classification. A domestic single-member LLC is commonly disregarded for federal income-tax purposes unless it elects corporate treatment. A domestic multi-member LLC is generally classified as a partnership unless it elects corporate treatment. A partnership generally files Form 1065 and issues Schedule K-1. An S corporation generally files Form 1120-S and issues Schedule K-1; owner-employees who perform services must consider reasonable compensation and payroll. A C corporation generally files Form 1120 and pays corporate-level income tax. Classification decisions can have significant payroll, basis, distribution, state-tax, and compliance consequences.

IRS references: Publication 3402, Form 1065 Instructions, Form 1120-S Instructions, Form 1120 Instructions

## Qualified Business Income Deduction

Chunk ID: irs2026_012_qbi | Topic: qbi | Tax year: 2026 | Filing year: 2027

Section 199A can provide eligible owners of pass-through businesses a qualified business income deduction, subject to definitions and limitations. It is not automatically 20% of gross business receipts. Qualified business income, taxable income, business type, W-2 wages, qualified property, losses, and other factors can affect the deduction. Forms 8995 and 8995-A are commonly used depending on complexity. Current 2026 IRS guidance should be consulted because legislation affects the deduction.

IRS references: Publication 505 (2026), Form 8995 Instructions

## 401(k), 403(b), Governmental 457 and TSP

Chunk ID: irs2026_013_401k | Topic: 401k | Tax year: 2026 | Filing year: 2027

For 2026, the employee elective-deferral limit for most 401(k), 403(b), governmental 457 plans, and the federal Thrift Savings Plan is $24,500. The general catch-up limit for eligible participants age 50 or older is $8,000. A higher catch-up of $11,250 applies for eligible participants ages 60 through 63 under applicable rules. Traditional elective deferrals generally reduce current federal taxable wages, while designated Roth contributions are generally after-tax. Employer matching, vesting, investment choices, and withdrawal rules are plan-specific.

IRS references: IRS Notice 2025-67, IRS 2026 retirement limits announcement

## Traditional IRA

Chunk ID: irs2026_014_traditional_ira | Topic: traditional_ira | Tax year: 2026 | Filing year: 2027

For 2026, the combined annual contribution limit for traditional and Roth IRAs is $7,500, plus a $1,100 catch-up for eligible individuals age 50 or older. A traditional IRA contribution can be deductible, partially deductible, or nondeductible depending on filing status, modified AGI, and workplace retirement-plan coverage. Nondeductible contributions create IRA basis that must be tracked, commonly using Form 8606. A taxpayer does not receive a separate $7,500 limit for each traditional and Roth IRA.

IRS references: IRS Notice 2025-67, Publication 590-A, Form 8606 Instructions

## Roth IRA

Chunk ID: irs2026_015_roth_ira | Topic: roth_ira | Tax year: 2026 | Filing year: 2027

Roth IRA contributions are generally not deductible. Qualified Roth IRA distributions can be tax-free when statutory requirements are met. For 2026, direct Roth IRA contribution eligibility phases out at modified AGI of $153,000 to $168,000 for Single/Head of Household and $242,000 to $252,000 for Married Filing Jointly; restrictive rules apply to many Married Filing Separately taxpayers who lived with a spouse. Traditional and Roth IRAs share the same annual IRA contribution limit.

IRS references: IRS 2026 retirement limits announcement, Publication 590-A

## Roth Conversions and Backdoor Roth

Chunk ID: irs2026_016_roth_conversion | Topic: roth_conversion | Tax year: 2026 | Filing year: 2027

A Roth conversion moves value from a traditional IRA to a Roth IRA and can create taxable income. A commonly called 'backdoor Roth' strategy uses a nondeductible traditional IRA contribution followed by conversion, but the federal pro-rata rule can make a conversion partly taxable when the taxpayer has pre-tax balances in traditional, SEP, or SIMPLE IRAs. Form 8606 tracks nondeductible basis and conversion reporting. The transaction should be analyzed using all IRA balances, not just the account used for the contribution.

IRS references: Publication 590-A, Publication 590-B, Form 8606 Instructions

## SEP and SIMPLE Retirement Plans

Chunk ID: irs2026_017_sep_simple | Topic: sep_simple | Tax year: 2026 | Filing year: 2027

SEP and SIMPLE arrangements are small-business retirement plans with rules different from personal IRAs. For 2026, the defined-contribution maximum relevant to SEP arrangements is $72,000, subject to compensation and contribution formulas. The general 2026 SIMPLE employee contribution limit is $17,000, with statutory variations and catch-up provisions. Employer contribution obligations and plan-document requirements differ by plan type. Publication 560 is a central IRS resource.

IRS references: Publication 560, IRS Notice 2025-67

## Health Savings Accounts

Chunk ID: irs2026_018_hsa | Topic: hsa | Tax year: 2026 | Filing year: 2027

For 2026, the HSA contribution limit is $4,400 for self-only qualifying HDHP coverage and $8,750 for family qualifying HDHP coverage. Eligible individuals age 55 or older can generally make an additional $1,000 catch-up contribution. HSA eligibility depends on qualifying high-deductible health-plan coverage and disqualifying other coverage, not merely the size of a deductible. Form 8889 reports HSA contributions and distributions. Qualified medical-expense distributions can receive favorable tax treatment.

IRS references: Revenue Procedure 2025-19, Publication 969, Form 8889 Instructions

## Tax Residency for Immigrants and Non-Immigrants

Chunk ID: irs2026_019_tax_residency | Topic: tax_residency | Tax year: 2026 | Filing year: 2027

Immigration status and federal tax residency are separate legal concepts. A person in the United States on a temporary nonimmigrant visa can nevertheless be a resident alien for federal tax purposes. Two principal tax-residency routes are the green-card test and substantial-presence test, subject to statutory exceptions and treaty rules. Resident aliens generally follow many of the same federal income-tax rules as U.S. citizens, including worldwide-income reporting. Nonresident aliens generally use Form 1040-NR when a U.S. return is required and are subject to special source-of-income, effectively connected income, withholding, deduction, and treaty rules.

IRS references: Publication 519, Form 1040-NR Instructions

## Substantial Presence Test

Chunk ID: irs2026_020_substantial_presence | Topic: substantial_presence | Tax year: 2026 | Filing year: 2027

The substantial-presence test generally requires physical presence in the United States for at least 31 days in the current year and 183 weighted days across the current year and prior two years. The usual weighting counts all current-year days, one-third of the preceding year's days, and one-sixth of the second preceding year's days. Some days may be excluded for 'exempt individuals' and other statutory circumstances. Closer-connection exceptions, treaty positions, and residency starting or ending dates can alter the filing result.

IRS references: Publication 519

## Nonresident Alien Filing

Chunk ID: irs2026_021_nonresident | Topic: nonresident | Tax year: 2026 | Filing year: 2027

A nonresident alien who has a U.S. federal filing requirement generally files Form 1040-NR. Effectively connected income from a U.S. trade or business and certain U.S.-source fixed, determinable, annual, or periodical income can be taxed under different regimes. Tax treaties can reduce or modify U.S. tax but may require disclosure. Nonresident aliens should not automatically apply resident-alien deductions, filing statuses, or worldwide-income rules. Publication 519 and the Form 1040-NR instructions are primary references.

IRS references: Publication 519, Form 1040-NR Instructions, Publication 901

## Dual-Status Tax Year

Chunk ID: irs2026_022_dual_status | Topic: dual_status | Tax year: 2026 | Filing year: 2027

A taxpayer who changes between nonresident-alien and resident-alien status during a year can have a dual-status tax year. Dual-status filing is not the same as a normal full-year resident return. Residency starting and ending dates, first-year elections, treaty residency, and elections involving a spouse can materially affect reporting. Travel-day records and foreign-income records are especially important. These cases often warrant professional review.

IRS references: Publication 519

## Foreign Income and Foreign Tax Credit

Chunk ID: irs2026_023_foreign_income | Topic: foreign_income | Tax year: 2026 | Filing year: 2027

U.S. citizens and resident aliens generally report worldwide income. Qualifying foreign income taxes may generate a foreign tax credit, commonly calculated on Form 1116 for individuals. The foreign earned income exclusion is a separate mechanism claimed using Form 2555 when eligibility tests are met. For 2026, the maximum foreign earned income exclusion is $132,900. The credit and exclusion interact with other tax rules and should not be treated as interchangeable.

IRS references: Publication 514, Publication 54, Form 1116 Instructions, Form 2555 Instructions

## Foreign Accounts - FBAR and Form 8938

Chunk ID: irs2026_024_foreign_accounts | Topic: foreign_accounts | Tax year: 2026 | Filing year: 2027

Foreign financial-account reporting can be required even when no U.S. income tax is due on the account. FBAR (FinCEN Form 114) is a Bank Secrecy Act report filed with FinCEN, not an attachment to Form 1040. Form 8938 is an IRS form for specified foreign financial assets when applicable thresholds and status rules are met. FBAR and Form 8938 overlap but have different definitions, thresholds, filing systems, and exceptions. Taxpayers with foreign accounts should analyze both regimes separately.

IRS references: Publication 519, Form 8938 Instructions, FinCEN FBAR guidance

## Estimated Tax and Underpayment

Chunk ID: irs2026_025_estimated_tax | Topic: estimated_tax | Tax year: 2026 | Filing year: 2027

Federal income tax is generally pay-as-you-go. Taxpayers without sufficient withholding - including many self-employed people, landlords, and investors - may need estimated tax payments. Form 1040-ES provides worksheets and payment information. Form 2210 is used in applicable underpayment-penalty situations. A filing extension generally does not extend the time to pay tax, so expected tax due should be estimated by the regular payment deadline.

IRS references: Publication 505 (2026), Form 1040-ES, Form 2210 Instructions

## Common Federal Tax Forms - Navigation Map

Chunk ID: irs2026_026_forms_map | Topic: forms_map | Tax year: 2026 | Filing year: 2027

Form 1040 is the central individual income-tax return. Schedule A covers itemized deductions; Schedule B interest and ordinary dividends; Schedule C sole-proprietor business; Schedule D capital gains and losses; Schedule E rental, royalty, and pass-through income; Schedule SE self-employment tax. Form 8949 details many capital-asset sales; Form 4562 covers depreciation; Form 8582 passive-activity loss limits; Form 8606 IRA basis and certain Roth transactions; Form 8889 HSAs; Form 8960 Net Investment Income Tax; Form 8995/8995-A QBI; Form 1065 partnerships; Form 1120-S S corporations; Form 1120 C corporations; and Form 1040-NR nonresident-alien individual returns.

IRS references: IRS Forms, Instructions and Publications directory

## Short-Term vs. Long-Term Capital Gain - Core Rule

Chunk ID: irs2026_027_capital_gain_holding_period | Topic: capital_gains | Tax year: 2026 | Filing year: 2027

Capital gain or loss treatment depends in part on how long a capital asset is held. In general, a gain or loss is short-term when the asset is held one year or less and long-term when it is held more than one year. Net short-term capital gains are generally taxed at ordinary-income rates. Net long-term capital gains may qualify for preferential capital-gain rates, depending on taxable income and the type of gain. Capital losses are subject to netting and deduction rules. The holding-period rule should be evaluated separately from special rules that can recharacterize some gain as ordinary income.

IRS references: IRS Topic 409 - Capital Gains and Losses, Publication 550 - Investment Income and Expenses, Schedule D Instructions

## Stocks and ETFs - Sale, Basis, and Holding Period

Chunk ID: irs2026_028_stocks_etfs_capital_gains | Topic: capital_gains | Tax year: 2026 | Filing year: 2027

For stocks and ETFs held as capital assets, taxable gain or loss is generally the difference between amount realized on sale and adjusted tax basis, subject to special rules such as wash sales. A sale is normally reported as short-term or long-term based on the holding period. Dividends are a separate income category from gain on sale; qualified-dividend rules are not the same as long-term-capital-gain holding-period rules. Brokerage reporting on Form 1099-B and basis records should be reconciled with Form 8949 and Schedule D.

IRS references: Publication 550 - Investment Income and Expenses, Form 8949 Instructions, Schedule D Instructions

## Bonds and Debt Instruments - Interest vs. Capital Gain

Chunk ID: irs2026_029_bonds_interest_vs_gain | Topic: capital_gains | Tax year: 2026 | Filing year: 2027

A bond can produce both interest income and gain or loss on disposition, and those are not interchangeable. A bond bought at par and later sold above or below adjusted basis can produce capital gain or loss, generally classified by holding period. Special debt-instrument rules can override normal capital-gain treatment. For example, gain attributable to accrued market discount can be treated as ordinary interest income, and original-issue-discount rules can require income recognition before disposition. Analyze coupon interest, OID, market discount, bond premium, adjusted basis, and sale gain separately.

IRS references: Publication 550 - Investment Income and Expenses, Form 8949 Instructions

## Bank CDs and Recurring/Term Deposits - Usually Interest, Not Capital Gain

Chunk ID: irs2026_030_cd_deposit_interest | Topic: capital_gains | Tax year: 2026 | Filing year: 2027

Interest earned on a bank certificate of deposit or similar interest-bearing deposit is generally interest income rather than capital gain merely because the deposit was held for more than one year. Some debt instruments issued at a discount can have OID or other special rules. A RAG answer should not automatically classify a long-held deposit as a long-term capital gain; it should first identify whether the return is interest, discount income, or gain from disposition of a capital asset.

IRS references: Publication 550 - Investment Income and Expenses, Publication 17 - Your Federal Income Tax

## Sale of Main Home - Section 121 Exclusion and Capital Gain

Chunk ID: irs2026_031_main_home_sale | Topic: capital_gains | Tax year: 2026 | Filing year: 2027

A taxpayer selling a main home may qualify to exclude up to $250,000 of gain, or up to $500,000 on many joint returns, if the applicable requirements are met. In general, during the five-year period ending on the sale date, the taxpayer must have owned the home for at least two years and used it as a main home for at least two years. Other conditions and exceptions apply, including limits involving another home-sale exclusion within the prior two years. Taxable gain that cannot be excluded is generally reported as short-term or long-term according to how long the home was owned. A loss on the sale of a personal main home is generally not deductible.

IRS references: Publication 523 - Selling Your Home, IRS Sale of Residence - Real Estate Tax Tips, IRS Topic 701 - Sale of Your Home

## Second or Vacation Home - Capital Gain and No Automatic Main-Home Exclusion

Chunk ID: irs2026_032_second_home_sale | Topic: capital_gains | Tax year: 2026 | Filing year: 2027

A second residence or vacation home is generally a capital asset. Gain or loss on sale is generally reported under the capital-gain rules, with short-term or long-term classification based on the holding period. The main-home exclusion does not automatically apply to a second home merely because it was owned for more than one year. If a taxpayer owns more than one home, the Section 121 exclusion generally applies only to the qualifying main home. If a second home later becomes a main home, ownership, use, nonqualified-use, and other Section 121 rules must be evaluated before determining any exclusion.

IRS references: Publication 523 - Selling Your Home, IRS Property/Basis/Sale of Home FAQs, Schedule D Instructions

## Rental Property Sale - Capital Gain, Depreciation, and Special Rules

Chunk ID: irs2026_033_rental_property_sale | Topic: capital_gains | Tax year: 2026 | Filing year: 2027

Sale of rental real estate requires more than a simple short-term-versus-long-term label. The taxpayer must determine adjusted basis, including depreciation allowed or allowable, and apply the rules for business or rental property. Depreciation-related gain can receive special treatment, including unrecaptured Section 1250 gain rules. If a former rental property becomes a main home, Section 121 ownership/use tests, nonqualified-use rules, and depreciation recapture limitations can affect how much gain may be excluded. The facts and forms should be evaluated before treating the entire gain as ordinary long-term capital gain.

IRS references: Publication 523 - Selling Your Home, Publication 527 - Residential Rental Property, Publication 544 - Sales and Other Dispositions of Assets

## College Education Tax Benefits - Overview

Chunk ID: irs2026_034_education_credits_overview | Topic: education_tax | Tax year: 2026 | Filing year: 2027

Federal education tax benefits can include the American Opportunity Tax Credit (AOTC), Lifetime Learning Credit (LLC), student-loan-interest deduction, tax treatment of scholarships and fellowships, qualified tuition programs such as 529 plans, Coverdell ESAs, certain savings-bond benefits, employer educational assistance, and limited IRA early-distribution relief for qualified higher-education expenses. The same expense generally cannot be used to obtain multiple tax benefits. Eligibility depends on the specific benefit, taxpayer, student, filing status, income, qualified expenses, institution, and tax-residency rules.

IRS references: Publication 970 - Tax Benefits for Education, IRS Tax Benefits for Education Information Center

## American Opportunity Tax Credit (AOTC) - 2026 Core Rules

Chunk ID: irs2026_035_aotc_2026 | Topic: education_tax | Tax year: 2026 | Filing year: 2027

For tax year 2026, current IRS guidance describes the AOTC as worth up to $2,500 per eligible student and generally available for the first four years of postsecondary education when the student is pursuing a degree or other recognized credential and satisfies the enrollment and other requirements. Up to 40 percent of the otherwise allowable credit may be refundable, subject to the refundable-credit rules. The credit phases out as modified AGI rises from $80,000 to $90,000 for non-joint filers and from $160,000 to $180,000 for joint filers. For tax years beginning after December 31, 2025, current IRS guidance states that the individual claiming AOTC and the student for whom qualified expenses were paid, when different from the taxpayer or spouse, must satisfy the applicable SSN requirement. Verify the final 2026 Form 8863 instructions before filing.

IRS references: IRS Internal Revenue Bulletin 2026-38, IRS Education Credits - AOTC and LLC, Form 8863 Instructions

## Lifetime Learning Credit (LLC) - Core Rules

Chunk ID: irs2026_036_llc_education | Topic: education_tax | Tax year: 2026 | Filing year: 2027

The Lifetime Learning Credit is a nonrefundable education credit. Current IRS guidance describes it as 20 percent of up to $10,000 of adjusted qualified education expenses per return, for a maximum credit of $2,000 per return. Unlike AOTC, it can apply beyond the first four years of postsecondary education and can apply to courses taken to acquire or improve job skills. The same student cannot be used for both AOTC and LLC for the same tax year. Married-filing-separately taxpayers and certain nonresident-alien taxpayers are not eligible. Verify the final 2026 Form 8863 instructions before filing.

IRS references: IRS Education Credits - AOTC and LLC, IRS Education Credits FAQs, Publication 970 - Tax Benefits for Education

## 529 Plans, Scholarships, and Avoiding Double Benefits

Chunk ID: irs2026_037_education_529_scholarships | Topic: education_tax | Tax year: 2026 | Filing year: 2027

Qualified tuition programs (529 plans), scholarships, grants, and education credits can interact. Tax-free educational assistance generally reduces the expenses available for an education credit, and the same qualified expense cannot be used twice for incompatible tax benefits. A scholarship may be tax-free when statutory requirements are met, but amounts used for nonqualified costs can be taxable depending on the facts. A 529 distribution should be matched to qualified expenses and coordinated with AOTC or LLC calculations. Keep records showing who paid each expense and which benefit used it.

IRS references: Publication 970 - Tax Benefits for Education, IRS No Double Education Benefits Allowed, IRS Qualified Education Expenses

## Dependent College Student - Who Claims the Education Credit

Chunk ID: irs2026_038_dependent_college_student | Topic: education_tax | Tax year: 2026 | Filing year: 2027

When a college student is claimed as a dependent, education-credit eligibility is generally evaluated on the return of the taxpayer claiming that dependent, subject to the rules for the specific credit. Current IRS guidance states that the eligible student can be the taxpayer, spouse on a joint return, or a dependent listed on the return. Payments by a third party can sometimes be treated under special rules, so the payer alone does not always determine who may claim a credit. Dependency, qualified expenses, tax-free assistance, filing status, income limits, and identification requirements should all be checked.

IRS references: IRS Education Credits - AOTC and LLC, Publication 970 - Tax Benefits for Education, Publication 501 - Dependents

## Resident Alien vs. Nonresident Alien - Tax Meaning

Chunk ID: irs2026_039_resident_vs_nonresident_alien | Topic: tax_residency | Tax year: 2026 | Filing year: 2027

U.S. immigration categories and U.S. tax-residency categories are different. For federal tax purposes, a non-U.S. citizen is generally treated as a resident alien if the person meets the Green Card Test or the Substantial Presence Test, subject to exceptions, elections, and treaty rules. Resident aliens are generally taxed in the same manner as U.S. citizens on worldwide income. Nonresident aliens are generally subject to U.S. federal income tax under different rules, principally for U.S.-source income and income effectively connected with a U.S. trade or business. Dual-status treatment can apply when residency changes during a year.

IRS references: Publication 519 - U.S. Tax Guide for Aliens, IRS Topic 851 - Resident and Nonresident Aliens, IRS Introduction to Residency Under U.S. Tax Law

## Substantial Presence Test - Day-Count Formula

Chunk ID: irs2026_040_substantial_presence_test | Topic: tax_residency | Tax year: 2026 | Filing year: 2027

The Substantial Presence Test generally treats an alien as a U.S. resident for a calendar year if the individual is physically present in the United States for at least 31 days during the current year and at least 183 weighted days over the current year and prior two years. The weighted calculation counts all days in the current year, one-third of days in the immediately preceding year, and one-sixth of days in the second preceding year. Certain days are excluded and special rules can apply, so the numerical result should not be used without checking exempt-individual, closer-connection, treaty, and other Publication 519 rules.

IRS references: IRS Topic 851 - Resident and Nonresident Aliens, Publication 519 - U.S. Tax Guide for Aliens

## H-1B Visa Holder - Tax Residency Is a Separate Determination

Chunk ID: irs2026_041_h1b_tax_residency | Topic: tax_residency | Tax year: 2026 | Filing year: 2027

H-1B is an immigration status, not a tax-residency classification. IRS guidance states that an H-1B individual is generally treated as a U.S. resident for federal income-tax purposes when the Substantial Presence Test is met. Depending on the facts, an H-1B individual who does not meet the test may have elections or treaty considerations described in Publication 519. A RAG answer should therefore avoid the incorrect rule 'H-1B equals resident alien' or 'H-1B equals nonresident alien' and instead evaluate the applicable residency test for the tax year.

IRS references: IRS Taxation of Alien Individuals by Immigration Status - H-1B, Publication 519 - U.S. Tax Guide for Aliens

## H-4 Visa Holder - Do Not Infer Tax Residency from Visa Status

Chunk ID: irs2026_042_h4_tax_residency | Topic: tax_residency | Tax year: 2026 | Filing year: 2027

H-4 is a nonimmigrant immigration status associated with certain H principal workers, but it does not by itself determine U.S. federal tax residency. IRS guidance separates visa classification from resident-alien, nonresident-alien, and dual-status tax classifications. For an H-4 spouse or dependent, determine tax residency under the applicable Green Card Test or Substantial Presence Test and check Publication 519 exceptions, elections, and treaty rules as relevant. Do not assume that every H-4 holder is a nonresident alien or that every H-4 holder is a resident alien.

IRS references: IRS Taxation of Aliens by Visa Type and Immigration Status, IRS Topic 851 - Resident and Nonresident Aliens, Publication 519 - U.S. Tax Guide for Aliens

## Scenario: H-1B Parent Paying College Costs for an H-4 Dependent Student

Chunk ID: irs2026_043_h1b_parent_h4_student | Topic: education_tax | Tax year: 2026 | Filing year: 2027

Scenario: A parent is in H-1B status, a college-age child is in H-4 status, and the parent pays the child's U.S. college tuition. Do not decide education-credit eligibility from the visa labels alone. First determine the parent's U.S. tax residency and filing status and whether the child is a dependent claimed on the return. Then evaluate whether the student and institution satisfy AOTC or LLC rules, whether the expenses are qualified, whether scholarships or 529 distributions reduce expenses available for the credit, whether identification requirements are met, and whether income limits or nonresident-alien restrictions apply. Current IRS guidance states that a taxpayer or spouse who was a nonresident alien for any part of the year generally cannot claim AOTC or LLC unless the applicable election to be treated as a resident alien is made. For AOTC beginning after 2025, also verify the current SSN requirements. Final eligibility depends on the complete facts and final 2026 Form 8863 instructions.

IRS references: IRS Education Credits - AOTC and LLC, IRS Internal Revenue Bulletin 2026-38, Publication 519 - U.S. Tax Guide for Aliens, Publication 970 - Tax Benefits for Education

## Scenario: H-4 Spouse Attending College

Chunk ID: irs2026_044_h4_spouse_student | Topic: education_tax | Tax year: 2026 | Filing year: 2027

Scenario: One spouse is in H-1B status and the other spouse is in H-4 status and attends an eligible college. The H-4 label alone does not establish education-credit eligibility. Determine each spouse's federal tax residency, the couple's filing status, whether they file jointly when required for the credit, the student's eligibility, qualified expenses, tax-free assistance, and income limitations. Married filing separately generally prevents AOTC and LLC. If the taxpayer or spouse was a nonresident alien for part of the year, current IRS guidance generally requires the applicable election to be treated as a resident alien before an education credit can be claimed. Verify final 2026 Form 8863 instructions and Publication 519 for the actual filing situation.

IRS references: IRS Education Credits FAQs, IRS Education Credits - AOTC and LLC, Publication 519 - U.S. Tax Guide for Aliens, Publication 970 - Tax Benefits for Education